

Submission ACCT1-MID-SUB02

Question ACCT1-MID-Q01

work / setup:

1. Dr Cash 737; Cr Service Revenue 737
2. Dr Supplies 216; Cr Accounts Payable 216

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Cash 737/Cr Revenue 737; Dr Supplies 216/Cr A/P 216; A=L+E remains balanced plus 1

Question ACCT1-MID-Q02

work / setup:

1. Monthly revenue= $1108/12=92$
2. Dr Unearned Revenue 92; Cr Service Revenue 92

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Unearned Revenue 92; Cr Revenue 92; liability= 1016 plus 1

Question ACCT1-MID-Q03

work / setup:

1. Assets = Liabilities + Equity
2. Equity= $2545-401=2144$

crossed-out arithmetic: [smudged]

FINAL (maybe): equity= $\$2144$; assets=liabilities+equity plus 1

Question ACCT1-MID-Q04

work / setup:

1. Current ratio= $1018/931=1.09$

crossed-out arithmetic: [smudged]

FINAL (maybe): current ratio= 1.09 ; assets exceed liabilities if ratio >1 plus 1

Question ACCT1-MID-Q05

work / setup:

1. Cash receipt before performance does not by itself create earned revenue.

crossed-out arithmetic: [smudged]

FINAL (maybe): record unearned revenue first; recognize revenue as performance occurs plus 1

Question ACCT1-MID-Q06

work / setup:

1. Dr Cash 364; Cr Service Revenue 364
2. Dr Supplies 550; Cr Accounts Payable 550

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Cash 364/Cr Revenue 364; Dr Supplies 550/Cr A/P 550; A=L+E remains balanced plus 1

Question ACCT1-MID-Q07

work / setup:

1. Monthly revenue= $1266/6=211$

2. Dr Unearned Revenue 211; Cr Service Revenue 211

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Unearned Revenue 211; Cr Revenue 211; liability= 1055 plus 1

Question ACCT1-MID-Q08

work / setup:

1. Assets = Liabilities + Equity

2. Equity= $1699-464=1235$

crossed-out arithmetic: [smudged]

FINAL (maybe): equity= $\$1235$; assets=liabilities+equity plus 1